

AI Rewrites the IT Code

From services-led growth to AI-driven innovation, India's IT is reprogramming for an era where intelligent agents decide who scales, and who stalls

BY PALAK AGARWAL

 **INDIA'S INFORMATION TECHNOLOGY** (IT) sector, long hailed as the “back office of the world,” is at a crossroads. The industry, built on a service-driven model, is now under pressure as artificial intelligence (AI) upends its low-cost business model.

Yet, the sector remains one of the country's most profitable. In the BT500 list, it is ranked third in terms of consolidated profit after tax (PAT) at ₹1.34 lakh crore, with 9% growth year-on-year (YoY). However, this was slightly below the 11% average increase in PAT of the BT500 cohort.

Within the sector, Tata Consultancy Services (TCS) remains the undisputed leader, clocking a PAT of ₹48,800 crore on gross sales of more than ₹2.5 lakh crore, both metrics seeing a 6% YoY increase. However, its average market capitalisation in the study period rose just 6.5%, the lowest in the IT pack.

Infosys comes a distant second with a PAT of ₹26,750 crore on gross sales of ₹1.63 lakh crore. While profit growth slowed to 2%, investor confidence

At a Crossroads



India's IT sector is shifting from a services-led model to AI-driven innovation, with agentic AI poised to transform operations and client engagement



Wipro, long seen as struggling to grow, staged a comeback in FY25. Its PAT jumped 19%, the highest among the top five, to ₹13,218 crore



Exports are set to cross \$200 billion, as per industry lobby Nasscom, and domestic markets have grown 7%, even as layoffs and shorter project cycles shake up the industry



AI remains a supplemental service; IT majors haven't secured large, standalone AI contracts

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